January 29, 2026 06:28 AM GMT

Meta Platforms Inc | North America

Is This Really Primitive?

WHAT'S CHANGED		
Meta Platforms Inc (META.O)	**From**	**To**
Price Target	$750.00	**$825.00**

We raise '27 EPS and PT by 10% ($825, ~15% upside) as META's investments in engagement/monetization are leading to the fastest growth in 4+ years (when the business was half the size it is now). ROIC is on display with the LLM product pipeline set to bud in '26 for more long-term optionality ahead.

Core ROIC on Display... In our outlook we detailed the importance for companies to deliver outsized revenue growth and revenue durability as signals of the ROIC of this heavy current investment cycle. META's core business delivered as the 33.5% Y/Y growth at **the top end of META's 1Q guidance would be the fastest growth META has delivered since 3Q:21 (4+ years ago)...when the ad revenue base was half the size it is now.** After strong '24 and '25 results (22%/22% y/y growth) this further acceleration is driven by META's litany of machine-learning engagement and monetization improvements/optimizations over the past few years (see below). More importantly for durability, **META's budgeting process this year (like '25) has yielded a robust pipeline of further improvements to come...to drive more durable engagement and revenue growth.**

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Meta Platforms Inc (META.O, META US)	
Internet | United States of America	
Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	**$825.00**
Shr price, close (Jan 28, 2026)	$668.73
Mkt cap, curr (mm)	$2,087,489
52-Week Range	$796.25-479.80

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Exhibit 1: Meta's Engagement and Monetization Improvements in 4Q:25 and '25 – and Pipeline of Improvements to Come in '26 – Give us Confidence in Durably Faster Core Revenue Growth Ahead

Engagement Improvements	Monetization Improvements
4Q25	
• More efficient model scaling drove Instagram Reels watch time up more than 30% YoY	• Optimized ad delivery timing on Facebook, which delivered a 4x larger revenue impact than ad-load increases in 2H25
• Increased freshness of content, Facebook surfacing over 25% more Reels published that day QoQ	• Extended GEM ads model to cover Facebook Reels (now covers all of Facebook and Instagram)
• Ranking improvements on Facebook led to 7% lift in views of organic feed and video, drove largest quarterly revenue impact in two years	• Doubled GPUs used to train GEM, which increased model complexity, drove a 3.5% lift in ad clicks on Facebooks and a >1% conversion gain on Instagram
• Instagram recommendation optimizations grew prevalence of original content in the US by 10%, with 75% of recs coming from original posts	• Adopted new learning model architecture, which uses longer sequences of behavior and processes richer information from content
• Threads recommendation optimizations drove 20% lift in time spent	• Launched a new runtime model across Instagram resulting in a 3% increase in conversion rates
• 10% of Reels viewed are generated in the Edits app, tripling QoQ	• AI deployment in Ad Creative, with combined revenue run rate of video generation tools hitting $10B
• Increased personalization of Meta AI (e.g. personalized business assistant for advertisers)	• Incremental attribute model rollout drove a 24% increase in conversions and has achieved a multi-billion dollar annual run rate
• Number of daily actives generating media tripled YoY	• 2025 AI investments caused YoY conversion growth to accelerate through 4Q
• Introduced AI video dubs into nine different languages (powered by Meta Superintelligence Labs models)	• Consolidated models for Facebook stories and other services which drove a 12% increase in ads quality
• Meta AI made available in over 200 markets	
2026	
• Plan to continue scaling up models and increase the amount of data analyzed, including a longer history of content interactions	• Validate use of ad signals and organic content recommendations to improve the shared platform of organic and ad recommended content
• Make recommendations more adaptive to what a person is engaging with in a given session	• Continue scaling up GEM training to an even larger cluster and utilize learnings to improve smaller runtime ad models
• More deeply incorporate LLMs into existing recommendation systems to increase engagement with more recently posted content	• Continue to integrate AI across ad performance and marketing tools
• Advance the capabilities of underlying media generation models and ship new features to further enhance the product experience	• Complete rollout of Ads in Status on WhatsApp
• Introduce new Meta Superintelligence Labs AI products and models	• Bringing ads to new services including Threads in UK, EU, and Brazil

Source: Company Data, Morgan Stanley Research

...And If This Current Platform is "Primitive" Longer-Term Opportunities and Improvements are Likely to Drive Even More Growth. META is executing at an impressive rate but the roadmap for further outsized growth seems to be being drawn too as META management described the current systems as being "primitive" compared to what will be possible soon. We expect further improvements in personalization (from META being able to analyze more data more efficiently), agentic offerings (MetaAI and others), new creative/diffusion offerings for users/advertisers, wearables and more. **In effect, we think META's runway to further improve engagement and monetization is long as it better analyzes its data and improves its recommendation engines with a growing suite of data, tools and products.** These capabilities are likely to showcase as META ships its new LLMs and talks to productization over the course of '26...and it will be important to analyze the opportunities and adoption of those tools to feel more confident in durability of outsized growth into '27. Notably too, META also expects its internal efficiencies from AI tools to bud further, as the company saw a 30% increase in output per engineer in 2025 thanks to new agentic coding tools (heavily weighted towards Q4). Management also noted that some "power users" were even more effective with AI

coding and saw upwards of 80% productivity gains Y/Y.

Some Perspective vs GOOGL: We have detailed in the past how GOOGL continues to execute at an accelerating rate. But META's forward growth (from engagement and monetization ML gains) is indeed impressive as it is set to grow ~34%-35% as a $57bn quarterly business. For perspective, GOOGL Search grew 15% y/y when it was a ~$57bn quarterly business…in 3Q:25. GOOGL has yet to report, but as of our current models, we now see META surpassing GOOGL Search ad revenue in 2Q:26….with the gap widening from there.

Revenue Trumps Investment as '27 EPS Heads 10% Higher, PT to $825, Remain OW: While our '26/'27 opex rises ~6%/9% to ~$165bn/$205bn, flowing through the larger revenue base ('26/'27 revenue rises by ~8%/11%) leads to a ~10%/10% upward EPS revision. Please see Exhibit 3 Exhibit 3 for our bottom up cost of revenue build (infra, D&A and other) which we think is important to better understanding the drivers of opex spend. In all, we model infrastructure spend (hyperscaler spend, D&A and other infra spend) to grow by ~$36bn, driving ~75% of '26 opex growth. We look for more detail on META's hyperscale '26 spend and duration of the deals in META's form 10K in order to gauge potential step-ups in '27 or drop-offs in '28 and beyond. Because while Meta is signing hyperscale deals to get access to capacity faster, they are also building their own data center fleet as '26/'27 capex rises by ~17%/22% to ~$135bn/$165bn. But revenue revisions rule the day as our '27 EPS rises by 10% EPS. This drives our PT up 10% to $825 (15% upside) which implies 23x '27 EPS, unchanged vs our prior multiple and a ~10% premium to the long term average multiple.

Exhibit 2: We Raise Our PT to $825 (23x Our '27 EPS of $36.63)

Figures in mn	Bear	Base	Bull
EBITDA (FY27E)	$174,014	$187,867	$194,305
(X) Target Multiple	7.8x	11.1x	15.7x
Discount to 3-Year Average	-21%	12%	58%
(=) Enterprise Value	1,357,308	2,089,086	3,040,877
(-) Net Debt (YE '26)	(26,347)	(26,585)	(34,133)
(÷) Shares Outstanding	2,560	2,624	2,563
(=) Multiples Based Valuation	**$541**	**$806**	**$1,200**
DCF Based Valuation	**$460**	**$844**	**$1,000**
PT (Average of Multiples, DCF Valuation)	**$500**	**$825**	**$1,100**
% Upside	***-24%***	***25%***	***67%***
Implied '27 P/E	**17x**	**23x**	**29x**
'27 EPS	**$29.43**	**$36.63**	**$38.16**

Source: Company Data, MS Research

Exhibit 3: We model infrastructure spend (hyperscaler spend, D&A and other infra spend) to grow ~$36bn driving ~75% of '26 opex growth

	2023	2024	2025	2026	2027
Total Depreciation	**$11,177**	**$15,498**	**$18,616**	**$31,902**	**$51,309**
Y/Y Growth		$4,321	$3,118	$13,286	$19,407
Y/Y % Growth		39%	20%	71%	61%
Cost of Revenue ex SBC	$25,208	$29,261	$35,068	$65,518	$84,818
D&A in CoR	$8,942	$12,398	$13,577	$21,479	$32,513
% of D&A	80%	80%	73%	67%	63%
COR ex D&A	$16,267	$16,862	$21,491	$44,039	$52,305
Y/Y % Growth	-7%	4%	27%	105%	19%
% of Revenue	12.1%	10.3%	10.7%	16.9%	16.6%
Cloud Deals		**$0**	**$1,119**	**$16,654**	**$16,654**
Y/Y Growth			$1,119	$15,535	$0
Y/Y % Growth				1388%	0%
CoR ex D&A ex Cloud Deals ex SBC	**$16,267**	**$16,862**	**$20,372**	**$27,385**	**$35,651**
Y/Y Growth		$596	$3,509	$7,013	$8,266
Y/Y % Growth		3.7%	20.8%	34.4%	30.2%
% of Revenue	12.1%	10.3%	10.1%	10.5%	11.3%

Source: Company Data, Morgan Stanley Research

Exhibits

Exhibit 4: Prior vs. Current

	2025 Prior	2026 Prior	2027 Prior	2025 Current	2026 Current	2027 Current	2025 Revision	2026 Revision	2027 Revision
Total revenue	**200,596.6**	**240,797.6**	**283,969.8**	**200,965.0**	**260,267.7**	**314,432.4**	**0.2%**	**8.1%**	**10.7%**
Advertising revenue	**195,833.2**	**234,444.6**	**275,815.7**	**196,174.0**	**253,783.4**	**306,081.3**	**0.2%**	**8.2%**	**11.0%**
Payments/other revenue	**4,763.4**	**6,353.0**	**8,154.2**	**4,791.0**	**6,484.3**	**8,351.1**	**0.6%**	**2.1%**	**2.4%**
Mobile as a % of total advertising revenue	98.1%	177.1%	169.9%	98.1%	98.3%	98.5%	0 bp	(7881) bp	(7140) bp
Mobile ad revenue	192,057.0	415,166.2	468,539.0	192,391.5	249,395.1	301,401.2	0.2%	-39.9%	-35.7%
% change Y/Y	0.0%			0.0%			--	--	--
Cost of revenue (ex-SBC)	35,959.3	60,613.3	76,614.5	35,067.7	65,517.8	84,818.2	-2.5%	8.1%	10.7%
Gross profit	**164,637.3**	**180,184.3**	**207,355.3**	**165,897.3**	**194,749.9**	**229,614.2**	**0.8%**	**8.1%**	**10.7%**
Gross margin	82.1%	74.8%	73.0%	82.6%	74.8%	73.0%	48 bp	(0) bp	0 bp
Total operating expenses (GAAP)	**80,421.4**	**95,058.7**	**110,638.0**	**82,621.3**	**99,755.5**	**119,782.5**	**3%**	**5%**	**8%**
Sales and marketing (ex-SBC)	10,448.0	11,188.5	12,046.9	10,528.2	10,992.1	11,706.5	0.8%	-2%	-3%
Research and development (ex-SBC)	39,996.5	51,006.7	62,879.5	40,904.9	53,715.2	69,583.1	2.3%	5%	11%
General and administrative (ex-SBC)	9,934.9	9,610.6	10,203.7	10,762.2	11,442.4	11,766.2	8.3%	19%	15%
Stock-based compensation	20,042.0	23,252.8	25,507.9	20,426.0	23,605.9	26,726.8	1.9%	2%	5%
Non-recurring items	0.0	0.0	0.0	0.0	0.0	0.0	NA	NA	NA
Depreciation and amortization (included in expense lines)	18,802.2	30,804.8	45,891.4	18,616.0	31,901.7	51,309.0	-1%	4%	12%
Total operating expenses % of Rev									
Sales and Marketing (ex-SBC)	5.2%	4.6%	4.2%	5.2%	4.2%	3.7%	3bp	-42bp	-52bp
Research and development (ex-SBC)	19.9%	21.2%	22.1%	20.4%	20.6%	22.1%	42bp	-54bp	-1bp
General and administrative (ex-SBC)	5.0%	4.0%	3.6%	5.4%	4.4%	3.7%	40bp	41bp	15bp
Stock-based compensation	10.0%	9.7%	9.0%	10.2%	9.1%	8.5%	17bp	-59bp	-48bp
Non-recurring items	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0bp	0bp	0bp
Depreciation and amortization (included in expense lines)	9.4%	12.8%	16.2%	9.3%	12.3%	16.3%	-11bp	-54bp	16bp
Total costs and operating expenses (GAAP) Y/Y % Change	22.4%	33.8%	20.3%	23.7%	40.4%	23.8%	138 bp	667 bp	351 bp
Total costs and operating expenses (non-GAAP)	23.2%	37.5%	22.2%	24.4%	45.7%	25.6%	118 bp	817 bp	335 bp
GAAP Operating Income	**84,215.9**	**85,125.6**	**96,717.3**	**83,276.0**	**94,994.4**	**109,831.7**	**-1.1%**	**11.6%**	**13.6%**
Margin	42%	35%	34%	41%	36%	35%			
	42.0%								
EBITDA (adjusted)	**123,060.1**	**139,183.2**	**168,116.6**	**122,318.0**	**150,502.0**	**187,867.5**	**-0.6%**	**8.1%**	**11.7%**
EBITDA margin (adjusted)	**61.3%**	**57.8%**	**59.2%**	**60.9%**	**57.8%**	**59.7%**	(48) bp	2 bp	55 bp
Incremental EBITDA margin	59.3%	40.1%	67.0%	56.6%	47.5%	69.0%	(263) bp	742 bp	197 bp
EPS (GAAP)	**$23.45**	**$29.44**	**$33.20**	**$23.49**	**$32.23**	**$36.63**	**0.1%**	**9.5%**	**10.3%**
Average basic shares	2,520.5	2,503.8	2,494.6	2,521.8	2,575.9	2,586.0	0%	3%	4%
Average diluted shares	2,576.7	2,558.5	2,549.1	2,574.3	2,616.7	2,627.0	0%	2%	3%
Capex	72,102.1	115,607.3	135,676.1	72,215.0	135,370.7	164,937.7	0%	17%	22%
Free Cash Flow	53,010.3	30,577.1	35,403.1	43,585.0	26,646.0	26,669.8	-18%	-13%	-25%
Free Cash Flow per Share	$20.57	**$11.95**	**$13.89**	**$16.93**	**$10.18**	**$10.15**	**-18%**	**-15%**	**-27%**

Source: Company data, Morgan Stanley Research

Exhibit 5: Actuals vs. Estimates

	Actual vs. Estimate			
	4Q2025		Variance	
	Actual	Estimate	Absolute	%/bp
Total revenue	**59,893.0**	**59,524.6**	**368.4**	**0.6%**
Advertising revenue	**58,137.0**	**57,796.2**	**340.8**	**0.6%**
North America advertising revenue	25,643.0	25,461.3	181.7	0.7%
Europe advertising revenue	14,198.0	14,397.6	(199.6)	-1.4%
Asia advertising revenue	10,893.0	10,681.5	211.5	2.0%
ROW advertising revenue	7,403.0	7,255.7	147.3	2.0%
Payments/other revenue	**1,756.0**	**1,728.4**	**27.6**	**1.6%**
Cost of revenue (ex-SBC)	10,537.1	11,428.7	(891.6)	-7.8%
Gross profit	**49,355.9**	**48,095.9**	**1,260.0**	**2.6%**
Gross margin	82.4%	80.8%	160.7	—
Total operating expenses (GAAP)	**24,610.9**	**22,411.0**	**2,199.9**	**9.8%**
Sales and marketing (ex-SBC)	2,937.3	2,857.2	80.1	2.8%
Research and development (ex-SBC)	12,515.8	11,607.3	908.5	7.8%
General and administrative (ex-SBC)	3,267.8	2,440.5	827.3	33.9%
Stock-based compensation	5,890.0	5,506.0	384.0	7.0%
Non-recurring items	0.0	0.0	0.0	NA
Depreciation and amortization (included in expense lines)	5,411.0	5,597.2	(186.2)	-3.3%
EBITDA (adjusted)	**36,046.0**	**36,788.1**	**(742.1)**	**-2.0%**
EBITDA margin (adjusted)	**60.2%**	**61.8%**	(161.9)	**—**
Incremental EBITDA margin	33.5%	41.3%	(777.1)	—
EBITDA	**30,156.0**	**31,282.1**	**(1,126.1)**	**-3.6%**
EBITDA margin	**50.3%**	**52.6%**	(220) bp	**—**
Incremental EBITDA margin	20.3%	31.0%	(1078) bp	—
Total operating income (GAAP)	**24,745.0**	**25,684.9**	**(939.9)**	**-3.7%**
Operating margin (GAAP)	41.3%	43.2%	(183) bp	—
Other income/(expense), net (adjusted)	609.0	451.2	157.8	35.0%
Pretax income (GAAP)	**25,354.0**	**26,136.1**	**(782.1)**	**-3.0%**
Tax rate (GAAP)	10.2%	13.0%	(280) bp	—
Tax rate (adjusted)	16.0%	16.0%	0.0	—
Net income (GAAP)	**22,768.0**	**22,738.4**	**29.6**	**0.1%**
EPS (adjusted)	**$10.24**	**$10.33**	**(0.1)**	**-0.9%**
EPS (GAAP)	**$8.88**	**$8.83**	**$0.05**	**0.5%**
Average basic shares	2,525.0	2,519.9	5.1	0.2%
Average diluted shares	2,565.0	2,575.0	(10.0)	-0.4%

Source: Company data, Morgan Stanley Research

Risk Reward – Meta Platforms Inc (META.O)

The Age of Efficiency

PRICE TARGET $825.00

Our price target is determined using a discounted cash flow/long-term EBITDA multiple. It implies a ~23x '27 P/E Multiple. Our DCF uses an ~8% WACC and a ~3% terminal growth rate

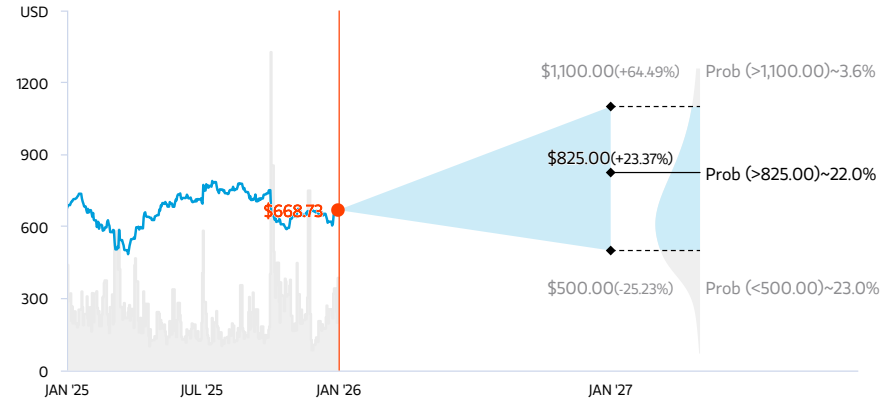
Consensus Price Target Distribution $685.00 $829.72 $1,117.00

MS PT

Mean Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 28 Jan 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

- **A Structural Pivot to Focus on Multi-Year Efficiency, Productivity and Leaner Operations...** We think META's "year of efficiency" is more than just a 365 day change...but rather a structural and cultural pivot to operate leaner and with a greater focus on investor returns...even through investment.
- **Importantly, Revenue and Engagement Trends Are Also Improving Across META's Platform...** our industry and company conversations speak to progress driving incremental Reels engagement and monetization...and traction improving ad measurement/attribution in the post IDFA world.
- **3 Underappreciated "Call Options"** including 1) further AI driven upside, 2) subscription adoption and 3) click-to-message.

Consensus Rating Distribution

92%	Overweight
8%	Equal-weight
0%	Underweight

MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Self-help:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $1,100.00

Implied ~29x '27 P/E

AI investments drive increased engagement and lead to new products/tools, which supports outsized ad monetization and revenue growth. Execution on newer offerings (like click to message) could also contribute to higher than expected growth. META could also drive further efficiency gains and be more successful in closing the Reels monetization gap. Reality Labs losses moderate and macro environment is better than expected.

BASE CASE $825.00

Implied ~23X base case '27 P/E

Ad revenue grows ~29.5% in '26 as META's AI investments drive incremental Reels engagement/monetization and support improved performance and ad measurement/attribution across the Family of Apps. We also see META continuing to focus on efficiency and improving productivity.

BEAR CASE $500.00

Implied ~17x '27 P/E

Declines in engagement and/or evidence of Reels monetization ramping more slowly than expected could lead to lower growth and greater uncertainty. We also watch for any macro uncertainty, regulation that limits META's ability to target ads, Reality Labs losses widen more materially than expected, and higher capital intensity from mis-execution around the data center build. Any additional opex and capex could weigh on operating income growth and FCF.

Risk Reward – Meta Platforms Inc (META.O)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Constant Currency % Growth (%)	22.5	27.4	20.5	19.4
Operating income (GAAP) ($, mm)	83,276	94,994	109,832	126,954
Consolidated Total Daily Active Users (mm)	2,239.9	2,293.7	2,343.6	2,389.1

INVESTMENT DRIVERS

- We are positive on META's structural pivot towards efficiency and improving revenue, engagement and Reels. We continue to monitor META's progress on call options (AI, subscriptions, click-to-message) and further investment in AI/data centers.

GLOBAL REVENUE EXPOSURE

- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% India
- 0-10% Japan
- 0-10% Latin America
- 0-10% UK
- 20-30% Europe ex UK
- 40-50% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected Reels monetization & higher engagement growth
- Increased benefit from AI investment
- Revenue driven by subscriptions and/or click-to-message ads
- Further efficiency improvements drive outsized FCF growth

RISKS TO DOWNSIDE

- Macro pressures/weaker consumer spend
- Regulation impacts ability to target ads
- Reality labs losses widen further
- Mis-execution risk could result in higher LT capital intensity

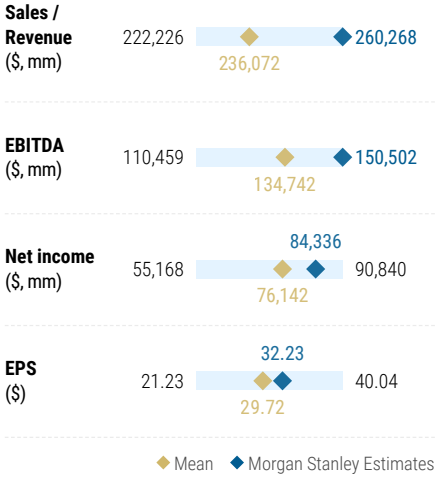
OWNERSHIP POSITIONING

Inst. Owners, % Active	57.1%
HF Sector Long/Short Ratio	2.9x
HF Sector Net Exposure	16.3%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 6: META Income Statement

Morgan Stanley | Meta model (USD millions)	2023	2024	2025	2026E	2027E	'22-'26 CAGR
Income Statement						
Advertising revenue	$131,948.0	$160,632.0	$196,174.0	$253,783.4	$306,081.3	22%
Payments/other revenue	2,953.0	3,868.0	4,791.0	6,484.3	8,351.1	22%
Total net revenue	**$134,901**	**$164,500**	**$200,965**	**$260,268**	**$314,432**	22%
Cost of revenue (ex-SBC)	25,208.1	29,260.6	35,067.7	65,517.8	84,818.2	28%
Gross profit	**$109,693**	**$135,239**	**$165,897**	**$194,750**	**$229,614**	21%
Gross margin	81.3%	82.2%	82.6%	74.8%	73.0%	
Sales and marketing (ex-SBC)	$11,299.2	$10,146.1	$10,528.2	$10,992.1	$11,706.5	-6%
Research and development (ex-SBC)	27,162.1	30,327.2	40,904.9	53,715.2	69,583.1	20%
General and administrative (ex-SBC)	10,453.5	8,596.0	10,762.2	11,442.4	11,766.2	1%
Stock-based compensation	14,027.0	16,790.0	20,426.0	23,605.9	26,726.8	19%
Non-recurring items	0.0	0.0	0.0	0.0	0.0	
Depreciation and amortization (included in expense lines)	11,177.0	15,498.0	18,616.0	31,901.7	51,309.0	38%
Total operating expenses (GAAP)	62,941.9	65,859.4	82,621.3	99,755.5	119,782.5	12%
Operating income (GAAP)	**$46,751**	**$69,380**	**$83,276**	**$94,994**	**$109,832**	35%
GAAP operating margin	34.7%	42.2%	41.4%	36.5%	34.9%	
				19.8%	27.4%	
Adjusted EBITDA	**$71,955**	**$101,668**	**$122,318**	**$150,502**	**$187,867**	32%
Adj. EBITDA margin	53.3%	61.8%	60.9%	57.8%	59.7%	
Incremental adj. EBITDA margin	122.3%	100.4%	56.6%	47.5%	69.0%	
EBITDA	**$57,928**	**$84,878**	**$101,892**	**$126,896**	**$161,141**	36%
EBITDA margin	42.9%	51.6%	50.7%	48.8%	51.2%	
Incremental EBITDA margin	111.0%	91.1%	46.7%	42.2%	63.2%	
Interest & other income/(expense), net (GAAP)	677.0	1,284.0	2,657.0	1,943.1	773.2	
Pre-tax income (GAAP)	**47,428.0**	**70,664.0**	**85,933.0**	**96,937.5**	**110,604.9**	35%
Income tax provision/(benefit) (GAAP)	8,331.0	8,304.0	25,475.0	12,601.9	14,378.6	22%
Tax rate (GAAP)	17.6%	11.8%	29.6%	13.0%	13.0%	
Net income (GAAP)	**$39,097**	**$62,360**	**$60,458**	**$84,336**	**$96,226**	38%
EPS (GAAP)	**$14.92**	**$23.91**	**$23.49**	**$32.23**	**$36.63**	39%

Source: Company data, Morgan Stanley Research

Exhibit 7: META Balance Sheet

Meta | Balance sheet (USD millions)	2023	2024E	2025E	2026E	2027E
Balance Sheet					
Assets:					
Cash & cash equivalents	41,862.0	43,889.0	35,873.0	39,609.7	43,348.8
Marketable securities	23,541.0	33,926.0	45,719.0	45,719.0	45,719.0
Accounts receivable, net	16,169.0	16,994.0	19,769.0	25,455.4	30,152.9
Prepaid expenses and other current assets	3,793.0	5,236.0	7,361.0	9,105.6	9,232.0
Total Current Assets	**85,365.0**	**100,045.0**	**108,722.0**	**119,889.7**	**128,452.7**
Property and equipment, net	96,587.0	121,346.0	176,400.0	276,927.5	387,337.4
Goodwill & other intangible assets, net	21,442.0	21,454.0	25,334.0	25,243.0	25,219.0
Other assets	26,229.0	33,209.0	55,565.0	55,565.0	55,565.0
Total Assets	**229,623.0**	**276,054.0**	**366,021.0**	**477,625.2**	**596,574.1**
Liabilities:					
Accounts payable	4,849.0	7,687.0	8,894.0	16,599.2	20,756.1
Platform partners payable	863.0	0.0	0.0	0.0	0.0
Accrued expenses and other current liabilities	24,625.0	23,967.0	30,729.0	41,060.7	48,752.5
Deferred revenue & deposits	0.0	0.0	0.0	1,567.6	1,888.2
Capital lease obligations, current portion	1,623.0	1,942.0	2,213.0	2,213.0	2,213.0
Total Current Liabilities	**31,960.0**	**33,596.0**	**41,836.0**	**61,440.5**	**73,609.9**
Capital lease obligations, less current portion	17,226.0	18,292.0	22,940.0	19,907.6	16,664.8
Long-term debt	18,385.0	28,826.0	58,744.0	58,744.0	58,744.0
Other liabilities	8,884.0	12,703.0	25,258.0	25,258.0	25,258.0
Total Liabilities	**76,455.0**	**93,417.0**	**148,778.0**	**165,350.1**	**174,276.7**
Shareholders' Equity:					
Preferred equity	0.0	0.0	0.0	0.0	0.0
Common equity	0.0	0.0	0.0	0.0	0.0
Additional paid-in capital	73,253.0	83,228.0	95,793.0	111,898.9	131,125.6
Accumulated other comprehensive income	(2,155.0)	(3,097.0)	271.0	271.0	271.0
Retained Earnings	82,070.0	102,506.0	121,179.0	200,105.2	290,900.8
Total Shareholders' Equity	**153,168.0**	**182,637.0**	**217,243.0**	**312,275.1**	**422,297.4**
Total Liabilities & Shareholders' Equity	**229,623.0**	**276,054.0**	**366,021.0**	**477,625.2**	**596,574.1**

Source: Company data, Morgan Stanley Research

Exhibit 8: META Cash Flow Statement

Meta | Cash flow statement (USD millions)	2023	2024E	2025E	2026E	2027E
Cash Flow Statement					
Operating Cash Flow:					
Net income	39,097.0	62,360.0	60,458.0	84,335.6	96,226.3
Depreciation & amortization	11,177.0	15,498.0	18,616.0	31,901.7	51,309.0
Stock-based compensation	14,027.0	16,690.0	20,426.0	23,605.9	26,726.8
Deferred income taxes	131.0	(4,739.0)	18,738.0	0.0	0.0
Tax benefit from stock-based compensation	0.0	0.0	0.0	0.0	0.0
Excess tax benefit from stock-based compensation	0.0	0.0	0.0	0.0	0.0
Other	2,844.0	469.0	(1,553.0)	10,000.0	10,000.0
Funds from operations	**67,276.0**	**90,278.0**	**116,685.0**	**149,843.2**	**184,262.0**
Changes in Working Capital:					
Accounts receivable	(2,399.0)	(1,486.0)	(1,816.0)	(5,686.4)	(4,697.5)
Prepaid expenses & other current assets	560.0	(698.0)	(88.0)	(1,744.6)	(126.4)
Other assets	(80.0)	(269.0)	(481.0)	0.0	0.0
Accounts payable	51.0	373.0	(14.0)	7,705.2	4,156.9
Platform partners payable	(271.0)	0.0	0.0	0.0	0.0
Accrued expenses & other current liabilities	5,352.0	324.0	1,077.0	10,331.7	7,691.8
Deferred revenue & deposits	0.0	0.0	0.0	1,567.6	320.6
Other liabilities	624.0	2,806.0	437.0	0.0	0.0
Changes in Working Capital	**3,837.0**	**1,050.0**	**(885.0)**	**12,173.5**	**7,345.5**
Operating Cash Flow	**71,113.0**	**91,328.0**	**115,800.0**	**162,016.7**	**191,607.5**
Investing Cash Flow:					
Purchases of PP&E (Capex)	(27,045.0)	(37,256.0)	(69,691.0)	(132,338.3)	(161,694.9)
Purchase of marketable securities	(2,981.0)	(25,542.0)	(36,929.0)	(8,000.0)	(8,000.0)
Maturities and sales of marketable securities	6,184.0	15,789.0	26,874.0	8,000.0	8,000.0
Investments in non-marketable equity securities	0.0	0.0	(21,206.0)	0.0	0.0
Acquisitions, net of cash, & purchases of intangible and other assets	(653.0)	(141.0)	(1,051.0)	0.0	0.0
Change in restricted cash & deposits	0.0	0.0	0.0	0.0	0.0
Investing Cash Flow	**(24,495.0)**	**(47,150.0)**	**(102,003.0)**	**(132,338.3)**	**(161,694.9)**
Financing Cash Flow:					
Net proceeds from issuance of common stock	0.0	0.0	0.0	0.0	0.0
Net proceeds from issuance of preferred stock	0.0	0.0	0.0	0.0	0.0
Proceeds from exercise of stock options	0.0	0.0	0.0	0.0	0.0
Proceeds from / (repayments of) long-term debt	8,455.0	0.0	29,906.0	0.0	0.0
Proceeds from sale & lease-back transactions	0.0	0.0	0.0	0.0	0.0
Cash dividends paid	0.0	(5,071.0)	(5,324.0)	(5,409.4)	(5,430.7)
Principal payments on capital lease obligations	(1,058.0)	(1,969.0)	(2,524.0)	(3,032.4)	(3,242.8)
Excess tax benefit from stock-based award activities	(19,916.0)	(19,970.0)	(24,028.0)	(17,500.0)	(17,500.0)
Other	(7,011.0)	(13,771.0)	(18,400.0)	0.0	0.0
Financing Cash Flow	**(19,530.0)**	**(40,781.0)**	**(20,370.0)**	**(25,941.8)**	**(26,173.5)**
Effects of FX	113.0	(786.0)	235.0	0.0	0.0
Beginning Cash	14,681.0	41,862.0	43,889.0	35,873.0	39,609.7
(+/-) Net changes in cash	27,201.0	2,611.0	(6,338.0)	3,736.7	3,739.2
(+/-) Restatements / adjustments	(20.0)	(584.0)	(1,678.0)	0.0	0.0
Ending Cash	**41,862.0**	**43,889.0**	**35,873.0**	**39,609.7**	**43,348.8**

Source: Company data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of December 31, 2025)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1519	41%	415	48%	27%	674	42%
Equal-weight/Hold	1583	43%	362	42%	23%	720	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	564	15%	87	10%	15%	216	13%
Total	3,670		865			1611	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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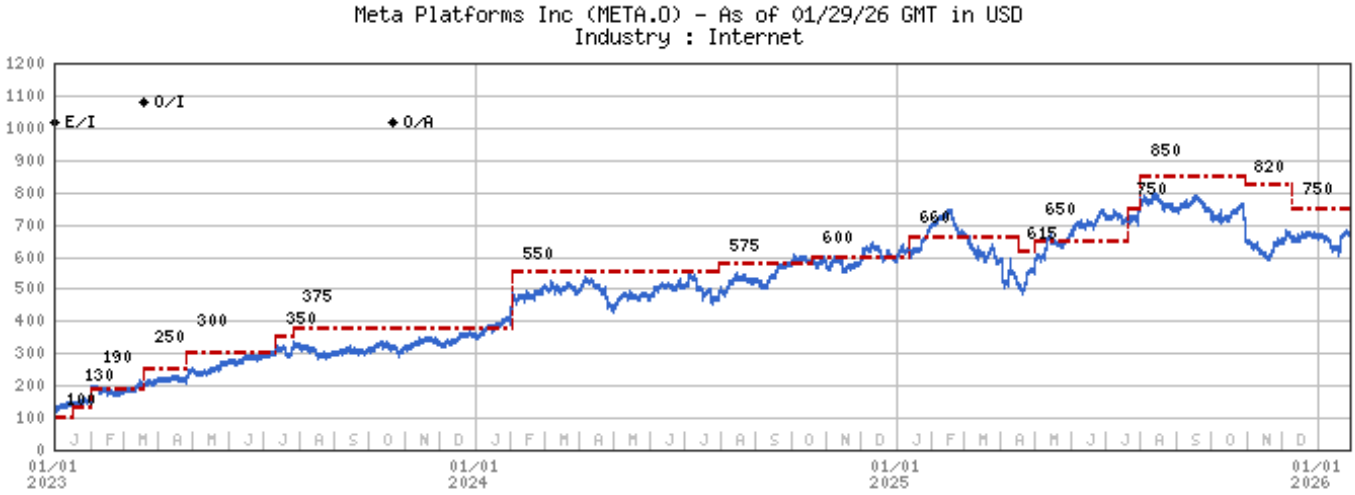
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 1/1/21 : O/I; 10/27/22 : E/I; 3/20/23 : O/I; 10/22/23 : O/A

Price Target History: 10/30/20 : 315; 1/4/21 : 340; 1/27/21 : 345; 4/29/21 : 375; 7/28/21 : 400; 10/26/21 : 365; 1/19/22 : 395; 2/3/22 : 360; 3/2/22 : 325; 4/28/22 : 330; 5/31/22 : 300; 7/18/22 : 280; 8/18/22 : 225; 10/9/22 : 205; 10/27/22 : 105; 11/14/22 : 100; 1/17/23 : 130; 2/2/23 : 190; 3/20/23 : 250; 4/26/23 : 300; 7/12/23 : 350; 7/27/23 : 375; 2/2/24 : 550; 7/31/24 : 575; 10/20/24 : 600; 1/12/25 : 660; 4/16/25 : 615; 5/1/25 : 650; 7/20/25 : 750; 7/31/25 : 850; 10/30/25 : 820; 12/10/25 : 750

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (01/28/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	$131.55
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	$336.01
Amazon.com Inc (AMZN.O)	O (04/24/2015)	$243.01
Booking Holdings Inc (BKNG.O)	E (01/09/2019)	$5,085.22
DoorDash Inc (DASH.O)	O (02/21/2024)	$206.66
Expedia Inc. (EXPE.O)	E (01/09/2019)	$265.76
Instacart (CART.O)	E (01/29/2024)	$37.82
Lyft Inc (LYFT.O)	E (10/24/2019)	$17.20
Meta Platforms Inc (META.O)	O (03/20/2023)	$668.73
Pinterest Inc (PINS.N)	O (07/20/2025)	$22.56
Reddit Inc (RDDT.N)	O (12/08/2024)	$193.14
Snap Inc. (SNAP.N)	E (07/22/2024)	$7.67
Uber Technologies Inc (UBER.N)	O (06/04/2019)	$79.78
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	$542.36
Compass, Inc. (COMP.N)	E (01/12/2026)	$13.05
Criteo SA (CRTO.O)	E (01/26/2016)	$19.71
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	$10.97
Electronic Arts Inc (EA.O)	E (08/04/2021)	$203.94
MNTN Inc (MNTN.N)	E (06/16/2025)	$9.77
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	$5.76
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	$3.63
Roblox Corporation (RBLX.N)	O (11/04/2024)	$75.27
Shutterstock Inc (SSTK.N)	E (07/28/2022)	$19.43
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	$243.18
Trade Desk Inc (TTD.O)	E (09/10/2025)	$31.87
Unity Software Inc (U.N)	O (09/02/2024)	$40.16

Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	$12.74
Yelp Inc (YELP.N)	U (01/10/2019)	$27.50
Zillow Group Inc (Z.O)	E (04/18/2018)	$65.98
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	$3.63
Chewy Inc (CHWY.N)	O (10/31/2023)	$31.02
Duolingo Inc (DUOL.O)	O (04/23/2025)	$142.80
eBay Inc (EBAY.O)	O (04/18/2024)	$95.17
Etsy Inc (ETSY.N)	E (07/20/2025)	$57.19
FIGS, Inc. (FIGS.N)	E (02/29/2024)	$11.29
Match Group Inc (MTCH.O)	E (04/18/2024)	$31.37
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	$5.84
Revolve Group Inc (RVLV.N)	E (10/20/2024)	$28.55
WW International Inc (WW.O)	E (08/01/2025)	$21.19

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* Historical prices are not split adjusted.

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